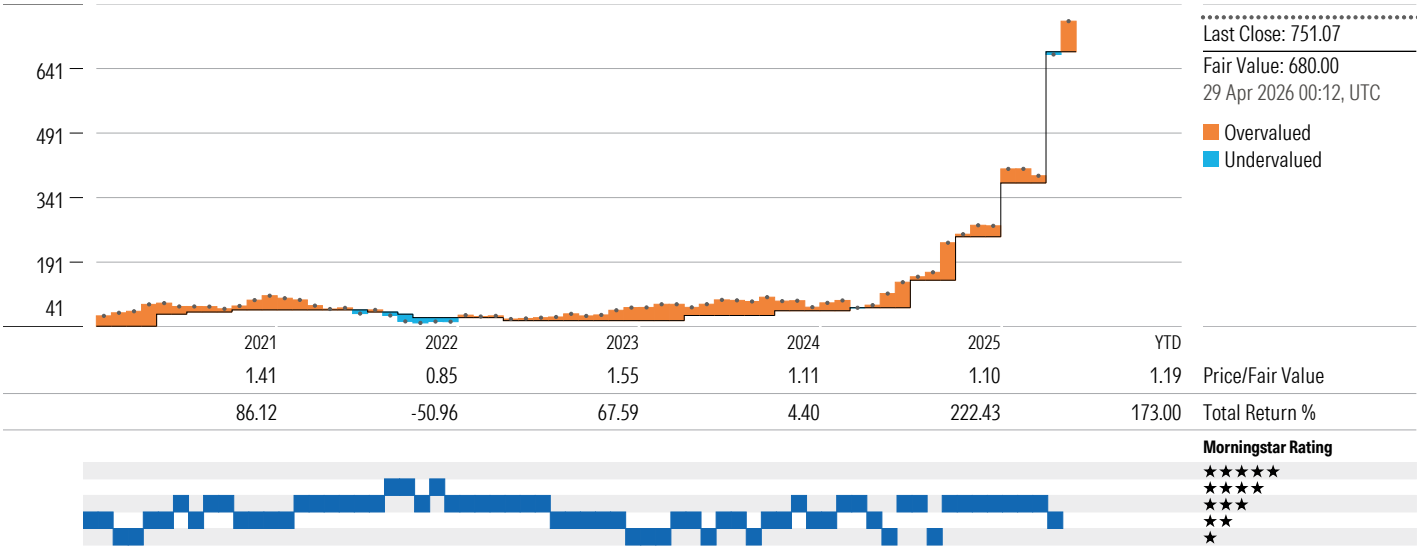
Seagate Technology Holdings PLC STX ★★ 21 May 2026 21:32, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
751.07 USD 20 May 2026	680.00 USD 29 Apr 2026 05:12, UTC	1.19	181.73 USD Bil 21 May 2026	None	Large Growth	High	Standard	13 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.41	0.85	1.55	1.11	1.10	1.19	Price/Fair Value
	86.12	-50.96	67.59	4.40	222.43	173.00	Total Return %

Total Return % as of 20 May 2026. Last Close as of 20 May 2026. Fair Value as of 29 Apr 2026 00:12, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Seagate Earnings: Record Margins and AI Tailwinds Drive Structural Rerating for HDD Industry

Analyst Note Eric Compton, CFA, Director, 29 Apr 2026

Seagate delivered a stellar third quarter, shattering records for gross margin (47%) and operating margin (37.5%) while providing a fourth-quarter outlook that suggests the growth engine is only accelerating.

Why it matters: We now believe the fundamentals around Seagate have structurally changed. Management's commentary on "structural growth" is supported by a supply/demand imbalance that shows no signs of easing, and we do not believe agentic artificial intelligence and inference demand are likely to slow.

- Nearline capacity is fully committed through 2026, largely allocated through 2027, and discussions for 2028 are already underway. We think this sets up Seagate has for a multiyear runway of high-visibility, high-margin revenue growth.
- The pricing environment improved even more in the quarter, with data center average pricing per terabyte increasing 6% year over year in the quarter. We are now projecting mid-single-digit increases in terabyte pricing through 2030.

The bottom line: We are materially increasing our fair value estimate to $680 from $375 and view shares as fairly valued after the 16% after-hours pop April 28. The main update is to assume mid-single-digit price hikes through 2029 rather than stable to down, along with moderately higher exabyte

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Sector Technology

Industry Computer Hardware

Business Description

Seagate Technology is a leading supplier of hard disk drives for data storage to the enterprise and consumer markets. It forms a practical duopoly in the market with its chief rival, Western Digital; they are both vertically integrated.

growth.

- Because Seagate is essentially running a fixed cost operating base, pricing hikes feed directly into better gross margins and materially alter the EPS growth trajectory. There is a lot of torque to the company's operating leverage.
- We also assume incremental gross margins trend toward 60% for the time being, although they were closer to 94% in the most recent quarter. This leads to a five-year EPS CAGR of 52%, or EPS of roughly $50 per share by 2029 compared with our previous $28 per share estimate.

Big picture: Our view now assumes the AI buildout leads to structurally advantaged pricing for HDD makers through at least 2030. If it lasts even longer, shares could be worth more.

Business Strategy & Outlook Eric Compton, CFA, Director, 28 Apr 2026

Seagate Technology is a leader in hard disk drives. The HDD market has become concentrated, with only three players remaining: Western Digital, Seagate, and Toshiba. Seagate and Western Digital have jostled back and forth for top share over the last decade, while Toshiba remains a distant third. HDDs are being phased out in key end markets in favor of solid-state drives, but we still see a future for HDDs in data centers. The economics (total cost of ownership) still favor HDDs over SSDs for workloads where controlling costs is important while immediate read access is not. This is commonly referred to as “nearline” storage, which we expect will make up almost all of Seagate’s business over time.

We expect overall HDD industry revenue will grow at an accelerated rate over the next several years, as prices rise and the amount of storage shipped increases. Because the industry is primarily concentrated in the top two players, they tend to grow close to the market rate. HDDs are in many ways a commodity-like product, and pricing power has historically been difficult, which has led to material swings in profitability and growth during cycles. However, we believe the current shift to data center-led demand and further concentration with the top two players is helping to structurally stabilize the industry. We believe this could lead to more predictable demand and more discipline from the HDD makers, granting Seagate improvements in pricing power and margins.

We think Seagate and Western Digital will generally maintain technological parity over the long term. For now, though, Seagate has a slight edge, as it was focused from the start on HAMR—heat-assisted magnetic recording—technology, which is now turning into the default for the industry. Seagate is already shipping 36-terabyte hard drives based on its Mozaic 3+ platform, and Western Digital is shipping 32 TB drives based on its ePMR technology. Seagate plans to introduce 36-44 TB drives based on HAMR technology by late 2026. We think this will give it a slight edge, leading to some share gains, although we expect things will stabilize within roughly a year.

Bulls Say Eric Compton, CFA, Director, 28 Apr 2026

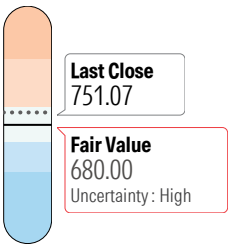
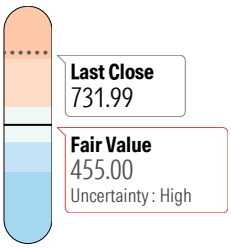
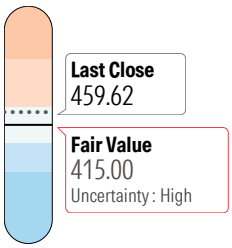
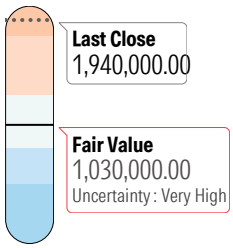
- Demand for data center buildouts is only increasing, driven by long-term structural trends such as AI

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Competitors

	Seagate Technology Holdings PLC STX	Micron Technology Inc MU	Western Digital Corp WDC	SK Hynix Inc 000660
				
Economic Moat	None	None	None	None
Currency	USD	USD	USD	KRW
Fair Value	680.00 21 May 2026 16:32, UTC	455.00 21 May 2026 16:27, UTC	415.00 21 May 2026 16:33, UTC	1,030,000.00 21 May 2026 08:36, UTC
1-Star Price	1,054.00	705.25	643.25	1,802,500.00
5-Star Price	408.00	273.00	249.00	515,000.00
Assessment	Overvalued 21 May 2026	Overvalued 21 May 2026	Fairly Valued 21 May 2026	Overvalued 21 May 2026
Morningstar Rating	★★21 May 2026 05:00, UTC	★21 May 2026 05:00, UTC	★★★21 May 2026 05:00, UTC	★21 May 2026 05:00, UTC
Analyst	Eric Compton, Director	William Kerwin, Senior Equity Analyst	Eric Compton, Director	Jing Jie Yu, Equity Analyst
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	1.19	1.67	1.17	1.88
Price/Sales	15.37	14.28	14.68	10.51
Price/Book	153.66	11.40	16.10	8.37
Price/Earning	71.26	34.53	27.51	18.37
Dividend Yield	0.36%	—	—	0.15%
Market Cap	181.77 Bil	859.45 Bil	167.57 Bil	1,377,118.49 Bil
52-Week Range	103.73—841.31	90.93—818.67	49.00—525.15	196,500.00—1,995,000.00
Investment Style	Large Growth	Large Growth	Large Growth	Large Growth

and Internet of Things. This could prolong the current upcycle and make it more durable than previous cycles.

- Advancements in higher-capacity HDDs and new technologies like energy-assisted recording should expand Seagate's gross margins.
- The HDD industry will be more disciplined on supply and pricing than in the past, which will reduce the cyclicality of the industry and warrant a higher valuation for Seagate.

Bears Say Eric Compton, CFA, Director, 28 Apr 2026

- The HDD market is commodity-like and cyclical, leaving Seagate vulnerable to market pricing declines that can shrink the top line and sink margins. In HDD downturns, these stocks can crater.
- The risk of HDD obsolescence, driven by displacement by SSDs, will always hang over Seagate. As more end markets phase out HDDs, the company is set to almost exclusively rely on the nearline storage market.

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▶ If there is any leveling off in data center demand for HDDs in the near term, or tariffs hurt demand or supply chains, the industry could be set for another brutal business cycle.

Economic Moat Eric Compton, CFA, Director, 28 Apr 2026

We do not think Seagate possesses an economic moat. Seagate is a leader in the hard disk drive market. HDDs etch data onto spinning magnetic discs and have been around in one form or another since the 1950s. While the HDD market has high barriers to entry, given the massive capital investment required along with the technical expertise needed to design and manufacture industry-leading HDDs, we find the industry is not amenable to moats because HDDs are commodities with minimal pricing power. This leads to occasionally brutal business cycles and erodes economic profits. We find this is the case, even though the industry is a functional oligopoly. We also have some worries about the tail risk of obsolescence due to the potential for better-than-anticipated development for SSDs. These two factors—lost economic profits during cyclical downturns and obsolescence tail risks—lead us to our no-moat rating. The market is shifting toward more stable demand from data centers, and if we combine this with more disciplined pricing from the primary HDD providers, it could lead to a structurally better margin and return environment for the industry. We would need to see more evidence of this before awarding a moat to Seagate, although the industry could be at the start of a new phase.

The HDD market is an oligopoly—but practically a duopoly—with Western Digital and Seagate each controlling roughly 40% of the market and Toshiba at less than 20% share. HDDs serve two distinct market segments: consumer drives for computers and gaming and mass-capacity enterprise drives for data centers. The former segment is undergoing a rapid decline, as solid-state drives built with NAND flash take over the consumer market. Compared with HDDs, SSDs are smaller, more durable, more energy-efficient, and much faster. They are also more expensive, which has historically been the bottleneck to full-scale adoption. However, the price discrepancy between HDD and SSD technology has been narrowing over time as flash technology advances, and as SSDs now present an overall better value proposition for consumer devices than HDDs, the share of HDDs in these devices has fallen.

For mass-capacity enterprise drives (also known as nearline drives), the cost discrepancy between HDD magnetic recording technology and flash is material. Western and Seagate are constantly improving areal storage density and implementing new technologies like heat-assisted magnetic recording to drive cost per HDD gigabyte down further at large capacity points. As a result, enterprise SSD cost per terabyte is still roughly 6-7 times more than a comparable HDD. On a total cost of ownership basis, the difference is still likely 3-4 times. With projected improvements in HDD capacity through 2030, getting to drives with 50 TB or more of storage, we expect this gap will remain, keeping HDDs the more attractive option for data center nearline storage for the foreseeable future. Mass-capacity HDDs hold the vast majority of data in a data center, and only “hot data”—newer data that is expected to be

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accessed frequently—gets stored on enterprise SSDs for quicker access.

While we do not have any immediate concerns about HDDs' technological obsolescence in the data center, product road maps generally only extend to 2030, and there is always the tail risk of better-than-expected SSD developments after 2030 or even unforeseen hiccups in HDDs' own future development road map. As such, our first key concern is the tail risk of obsolescence for HDDs over the next decade, even if we view this risk as unlikely for the near to medium term.

Beyond this key tail risk, we think competition with Western Digital erodes economic profits. End customers don't care which brand of HDD they use, and HDDs are interoperable, meaning customers can use HDDs from any manufacturer. As such, the market is driven by supply and demand. While companies like Seagate can earn economic profits in times of tight supply, when supply inevitably expands and prices fall, it leaves the firm vulnerable to economic losses. Given the cyclical nature of the industry, the potential for economic losses during a cycle, and the lack of any pricing power at the product level, we believe a no-moat rating is appropriate.

This is a bit counterintuitive because we think both Western Digital and Seagate possess significant intangible assets in the design and manufacture of mass capacity HDDs. These are complex technologies that require heavy investment and technological know-how, and in this sense, barriers to entry are high in the HDD industry. But the remaining players in the industry are unable to translate these intangible assets into any pricing power, so they struggle to generate long-term economic profits. If the industry stabilized, and players were more disciplined on pricing, we think this would be the path toward moats in the industry.

Competition in nearline HDDs occurs primarily on the basis of capacity expansion and lowering the total cost of ownership for customers. Western Digital and Seagate are constantly developing higher-capacity drives for enterprises; both have road maps for producing 36 TB drives and beyond, with long-term goals of reaching 100 TB or more. This continues a constant pattern for the industry where both key players generally make similar technological progress and then compete on price to sell their HDDs. Even as the industry sells more storage over time (the number of terabytes shipped increases every year), because technological progress makes these bytes cheaper and more efficient, the cost per terabyte consistently goes down each year. This is a classic sign of a commodity industry.

While we still expect prices per terabyte to decline over time, they could start declining at a slower rate than in the past as the ongoing artificial intelligence boom could be driving a structural shift in the industry, where demand from data centers is more stable and predictable than previous end markets the HDD industry focused on, and where the Seagate and Western Digital oligopoly becomes more disciplined on supply and pricing. While the industry has technically been consolidated with three players since roughly 2012, it may not be until now, with the shift toward data center demand, that the

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industry finally realizes the benefits of its consolidation. This will be a key development to keep an eye on.

Regarding technological development, there have been instances where one side of the duopoly beat the other to a capacity node. For example, Seagate was the first to ship 16 TB drives and won enterprise market share from Western Digital in 2020 (fiscal 2021) because of it. Nonetheless, Western Digital has caught up, and market share has stabilized since. We generally believe the two firms will maintain technological parity over the long term and expect any initial product advantages will likely even out and stabilize over time as the other side catches up.

Fair Value and Profit Drivers Eric Compton, CFA, Director, 28 Apr 2026

Our fair value estimate is $680 per share. This implies an adjusted fiscal 2027 price/earnings ratio of 28 times, although we expect high earnings growth will allow the company to grow back into a midteens multiple in several years. In our experience, Seagate's stock can swing wildly, along with its revenue and margins, depending on the HDD cycle. While HDDs have historically been quite cyclical, a key part of our thesis is that the industry will go through a more stable super cycle of AI-related storage demand. We assume the pricing environment and overall HDD demand are generally positive for at least the next five years. We also assume the HDD industry has some indefinite staying power in the data center ecosystem. If we reach a point where HDDs are replaced even in data centers, there would be a downside to our fair value estimate.

We expect Seagate to increase its data center revenue at a compound annual growth rate of 37% from fiscal 2025 through 2030, with slower growth in the non-data center business. Data center growth is linked with AI related demand, which we expect to be driven by multimodal storage demand (like video), AI agents, and the eventual proliferation of AI into many industries. This leads to an overall revenue CAGR of 31%.

We expect Seagate's gross margins will be structurally higher than in the past, driven by steadier data center demand and more disciplined pricing and supply management from the HDD industry. Surging AI and cloud storage demand is leading to an upcycle for the HDD industry currently, with higher exabyte shipments and improved pricing driving gross margins higher. We expect gross margin of roughly 44% in fiscal 2026, up from 18% in 2023, 23% in 2024, and 35% in 2025. While we previously believed that gross margin in the high 30s would represent a cyclical peak, we now believe gross margin can hit the low 50s by 2028. This is driven by pricing gains from HAMR shipments (pricing per terabyte does not deteriorate to the same degree as it has in the past, allowing Seagate to capture more of the economics) combined with more predictable demand from data centers and more discipline in supply from the HDD makers. This assumes mid-single-digit percentage increases in exabyte pricing annually through 2030.

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We think non-GAAP operating margin will continue to improve as the firm gains operating leverage by shipping an increasing amount of exabytes, therefore generating more revenue while maintaining roughly the same unit shipment amounts. We see Seagate hitting non-GAAP operating margin of 35% in fiscal 2026 and 47% by 2030 as favorable pricing and high-capacity HAMR rollouts enable the firm to grow revenue on a fixed cost base. Again, part of our updated thesis is that margins are structurally higher and more stable going forward. If margins started to swing wildly again, driven by supply overtaking demand, there would be downside to our fair value estimate as it would call into question the permanence of the structural changes we are anticipating.

Risk and Uncertainty Eric Compton, CFA, Director, 28 Apr 2026

We assign Seagate a High Morningstar Uncertainty Rating, due in large part to its vulnerability to pricing and cyclical downturns. As each HDD cycle plays out, revenue and profits can swing dramatically for the industry in general and for Seagate specifically. This creates a higher degree of uncertainty in our forecasts, and the stock price often moves dramatically during a cycle. However, the industry could be entering a new era, with demand centralized among data centers, particularly the major cloud service providers, which makes demand easier to predict. To the extent this helps stabilize the industry, we could see a reduction in overall uncertainty.

We think Seagate's HDD business faces obsolescence risk over the very long term (more than 10 years from now), depending on how HDD and SSD technologies develop, along with how workloads in data centers develop.

We expect robust demand for nearline drives over the medium term, even as advancements in NAND move flash closer to cost parity. If a time comes when the total cost of ownership for mass-capacity SSDs dips below that of nearline HDDs, we would expect Seagate's HDD sales to begin a steady decline. We foresee minimal environmental, social, and governance risk for Seagate. We think its largest ESG risk would be losing human capital to competitors, but we don't see evidence of a shift occurring.

Capital Allocation Eric Compton, CFA, Director, 28 Apr 2026

We give Seagate a Standard Capital Allocation Rating based on our assessment of a sound balance sheet, fair investments, and appropriate shareholder distributions.

We view Seagate's balance sheet as sound, with manageable debt levels and solid cash flow generation, particularly during the current AI demand boom.

We would place Seagate's investment record on the more positive end of fair. While the firm was a bit more active with acquisitions during the 1990s through the mid-2010s, as the industry has finished consolidating, acquisition activity has slowed. For the last decade, internal investments in research and development and cost efficiencies have been the primary focus, and we think appropriately so. We view Seagate's R&D efforts in a positive light, even if they have not always met the original timelines hoped

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for. Seagate was the first to reach 16 TB drives and gained some share from peers in 2020. It also pursued HAMR technology earlier and with more intensity than peers, and while HAMR took a bit longer to develop than originally thought, it is now turning into the industry standard and was the right avenue to pursue. We think this will give Seagate a slight edge in its product road map. Western Digital has pivoted back to a focus on HAMR, validating the focus Seagate has maintained all along. We also like that Seagate did not make a large, capital-intense foray into SSDs. We think focusing on its core competencies has been the right strategic focus.

We think Seagate's shareholder distributions are appropriate. HDDs are a mature industry, and Seagate generates healthy cash flows. We think a focus on maximizing the return of free cash flow to shareholders while maintaining healthy R&D is the correct focus. We expect Seagate will return close to 100% or more of free cash to shareholders once share repurchases resume. We also expect modest growth in the dividend, which we expect to eat up roughly 35% of net income.

Analyst Notes Archive

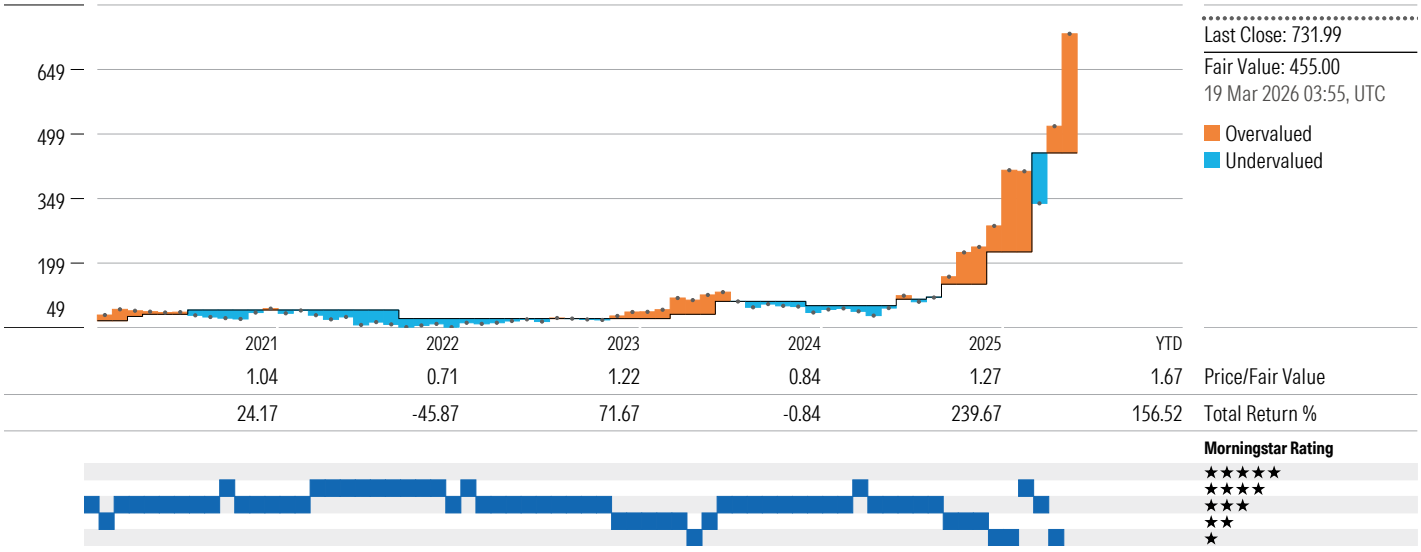
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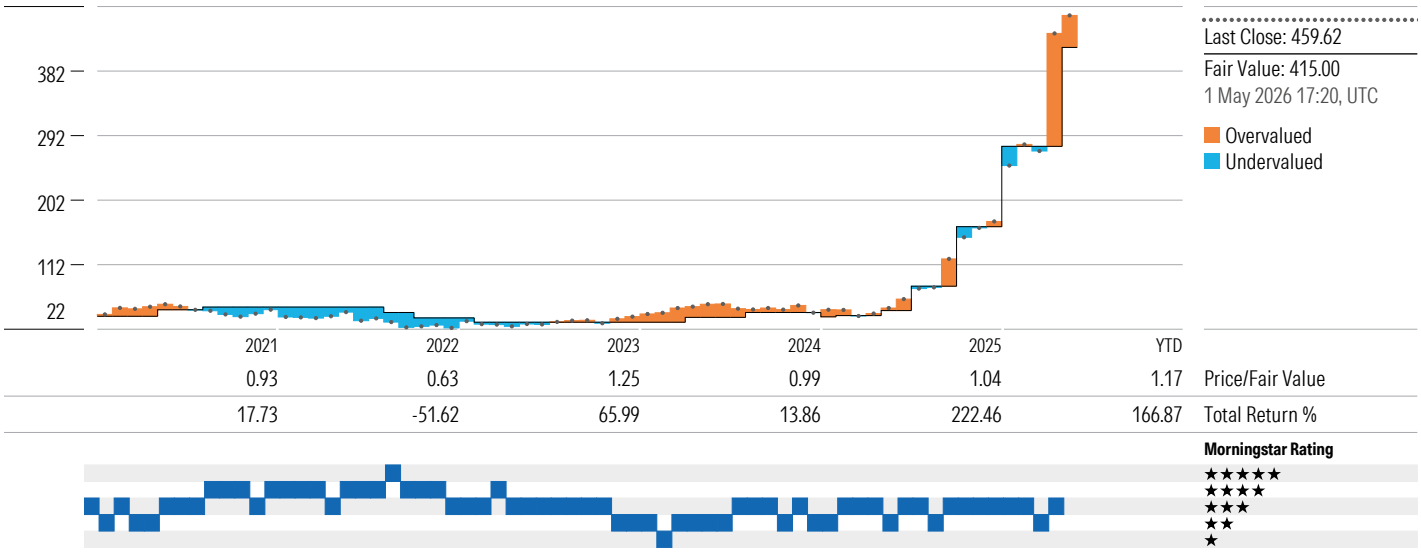
Competitors Price vs. Fair Value

Micron Technology Inc MU



Total Return % as of 20 May 2026. Last Close as of 20 May 2026. Fair Value as of 19 Mar 2026 03:55, UTC.

Western Digital Corp WDC



Total Return % as of 20 May 2026. Last Close as of 20 May 2026. Fair Value as of 1 May 2026 17:20, UTC.

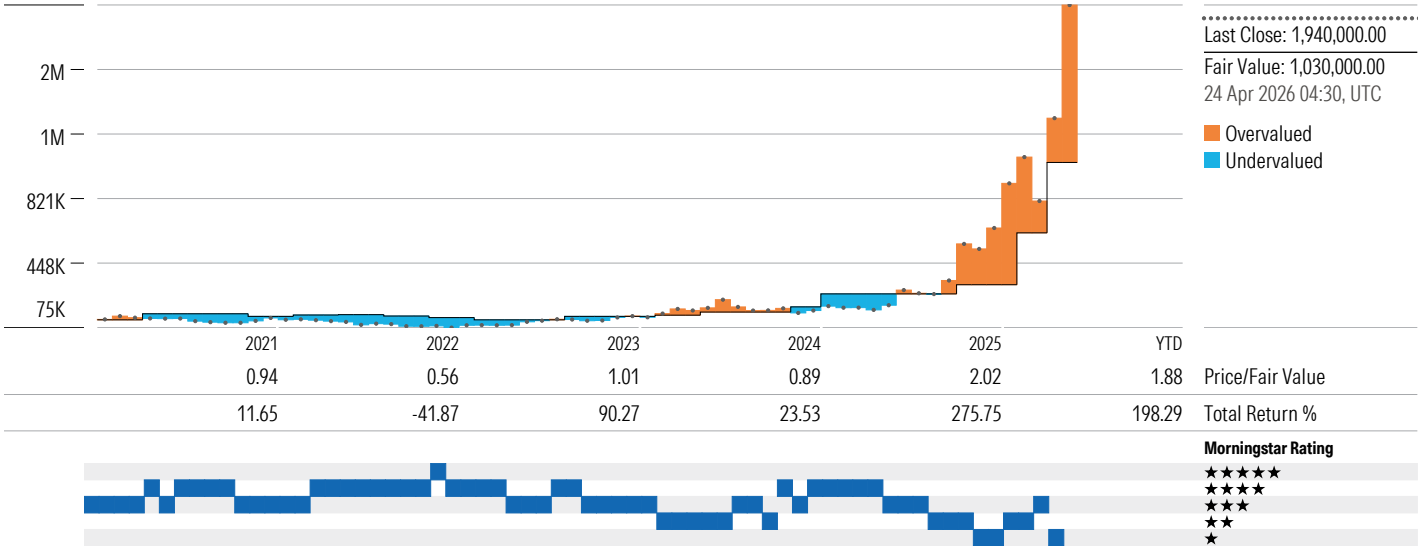
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Competitors Price vs. Fair Value

SK Hynix Inc 000660



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.94	0.56	1.01	0.89	2.02	1.88
Total Return %	11.65	-41.87	90.27	23.53	275.75	198.29

Total Return % as of 21 May 2026. Last Close as of 21 May 2026. Fair Value as of 24 Apr 2026 04:30, UTC.

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Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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Morningstar Valuation Model Summary

Financials as of 28 Apr 2026

Fiscal Year, ends 30 Jun	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	7,384	6,551	9,097	12,087	16,439	21,669	27,765	35,201
Operating Income (USD Mil)	63	422	1,915	4,012	6,736	9,540	12,686	16,407
EBITDA (USD Mil)	171	716	2,141	4,150	7,119	10,117	13,489	17,509
Adjusted EBITDA (USD Mil)	720	801	2,178	4,290	7,159	10,117	13,489	17,509
Net Income (USD Mil)	-529	335	1,469	2,962	5,414	7,568	10,137	13,205
Adjusted Net Income (USD Mil)	40	272	1,733	3,345	5,607	7,721	10,300	13,364
Free Cash Flow To The Firm (USD Mil)	117	385	1,219	2,712	4,943	7,133	9,566	12,520
Weighted Average Diluted Shares Outstanding (Mil)	207	212	217	228	229	218	207	192
Earnings Per Share (Diluted) (USD)	-2.56	1.58	6.77	12.98	23.65	34.67	49.03	68.69
Adjusted Earnings Per Share (Diluted) (USD)	0.19	1.28	7.99	14.66	24.50	35.37	49.81	69.52
Dividends Per Share (USD)	2.80	2.80	2.86	2.96	3.04	3.04	3.04	3.04

Margins & Returns as of 28 Apr 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	7.7	0.9	6.4	21.1	33.2	41.0	44.0	45.7	46.6	41.8
EBITDA Margin %	—	2.3	10.9	23.5	34.3	43.3	46.7	48.6	49.7	—
Adjusted EBITDA Margin %	—	9.8	12.2	23.9	35.5	43.6	46.7	48.6	49.7	44.8
Net Margin %	4.7	-7.2	5.1	16.2	24.5	32.9	34.9	36.5	37.5	33.3
Adjusted Net Margin %	7.9	0.5	4.2	19.1	27.7	34.1	35.6	37.1	38.0	34.5
Free Cash Flow To The Firm Margin %	7.0	1.6	5.9	13.4	22.4	30.1	32.9	34.4	35.6	31.1

Growth & Ratios as of 28 Apr 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	-7.9	-36.7	-11.3	38.9	32.9	36.0	31.8	28.1	26.8	31.1
Operating Income Growth %	-0.9	-96.8	569.8	353.8	109.5	67.9	41.6	33.0	29.3	53.7
EBITDA Growth %	203.8	-92.9	318.7	199.0	93.8	71.6	42.1	33.3	29.8	15.4
Adjusted EBITDA Growth %	-3.4	-70.2	11.3	171.9	97.0	66.9	41.3	33.3	29.8	51.7
Earnings Per Share Growth %	-2.8	-134.7	-161.8	328.4	91.7	82.3	46.6	41.4	40.1	59.0
Adjusted Earnings Per Share Growth %	-2.8	-97.6	564.0	522.5	83.5	67.1	44.4	40.8	39.6	59.0

Valuation as of 28 Apr 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	—	80.7	18.1	55.3	33.1	22.9	16.3	11.7
Price/Sales	—	3.3	3.4	15.0	11.1	8.4	6.5	5.2
Price/Book	—	-14.7	-69.1	127.0	39.2	52.1	53.7	68.4
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	—	33.2	16.1	43.1	25.8	18.3	13.7	10.6
EV/EBIT	—	63.0	18.3	46.1	27.4	19.4	14.6	11.3
Dividend Yield %	—	2.7	2.0	0.4	0.4	0.4	0.4	0.4
Dividend Payout %	1449.0	218.2	35.8	20.2	12.4	8.6	6.1	4.4
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 28 Apr 2026

Fiscal Year, ends 30 Jun	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	4.3	18.3	31.8	40.7	44.7	53.0	63.5	0.0
ROE %	-22.5	-324.3	203.6	114.5	222.9	324.7	579.7	0.0
ROIC %	3.2	21.0	43.9	69.3	89.4	106.6	122.1	—

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Seagate Technology Holdings PLC STX ★★ 21 May 2026 21:32, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
751.07 USD 20 May 2026	680.00 USD 29 Apr 2026 05:12, UTC	1.19	181.73 USD Bil 21 May 2026	None	Large Growth	High	Standard	13 May 2026 05:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 30 Jun	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	29.8	20.7	14.0	2.4	2.2	4.3	4.9	5.3
Assets/Equity	-6.3	-5.2	-17.7	6.4	2.8	5.0	6.1	9.1
Net Debt/EBITDA	27.3	6.0	1.9	0.7	0.0	0.2	0.2	0.3
Total Debt/EBITDA	7.6	7.1	2.3	0.9	0.5	0.8	0.7	0.6
EBITDA/ Net Interest Expense	4.7	114.4	5.8	10.4	28.5	19.1	21.8	25.5

Forecast Revisions as of 28 Apr 2026	2026		2027		2028	
Prior data as of 27 Jan 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	680.00	374.68	—	—	—	—
Revenue (USD Mil)	12,087	11,531	16,439	13,875	21,669	16,254
Operating Income (USD Mil)	4,012	3,602	6,736	4,939	9,540	6,136
EBITDA (USD Mil)	4,290	3,893	7,159	5,330	10,117	6,626
Net Income (USD Mil)	3,345	2,974	5,607	4,063	7,721	5,013
Earnings Per Share (Diluted) (USD)	12.98	11.94	23.65	17.08	34.67	21.92
Adjusted Earnings Per Share (Diluted) (USD)	14.66	13.04	24.50	17.93	35.37	22.60
Dividends Per Share (USD)	2.96	2.96	3.04	3.04	3.04	3.04

Key Valuation Drivers as of 28 Apr 2026

Cost of Equity %	9.2
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	8.1
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	0.0
Stage II Investment Rate %	10.0
Perpetuity Year	10

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 28 Apr 2026

	USD Mil
Present Value Stage I	27,534
Present Value Stage II	33,571
Present Value Stage III	78,849
Total Firm Value	**139,954**
Cash and Equivalents	891
Debt	4,995
Other Adjustments	0
Equity Value	**135,850**
Projected Diluted Shares	213
Fair Value per Share (USD)	**680.00**

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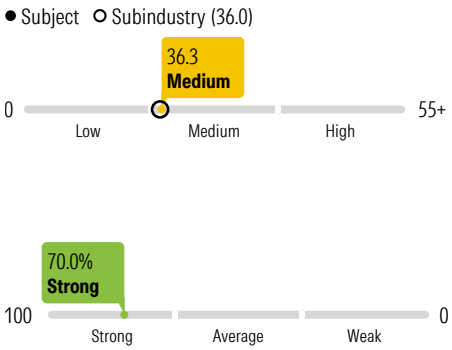
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Seagate Technology Holdings PLC STX ★★ 21 May 2026 21:32, UTC

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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 70.0% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 13, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Technology Hardware. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 13 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Seagate Technology Holdings PLC	36.3 | Medium	0	55+	70.0 | Strong	100	0	12.8 | Low	0	40+
Micron Technology Inc	51.8 | Medium	0	55+	67.7 | Strong	100	0	19.6 | Low	0	40+
Western Digital Corp	32.1 | Low	0	55+	66.8 | Strong	100	0	11.7 | Low	0	40+
SK Hynix Inc	52.9 | Medium	0	55+	71.9 | Strong	100	0	17.9 | Low	0	40+
Allegion PLC	38.7 | Medium	0	55+	48.7 | Average	100	0	21.1 | Medium	0	40+

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Appendix

Historical Morningstar Rating

Seagate Technology Holdings PLC STX 21 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★	★★★	★★★	★	★★	★★★	★★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★	★★	★	★★	★★	★	★★	★★	★	★	★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★★	★★★	★★	★★★	★★	★★	★	★	★★	★★

Micron Technology Inc MU 21 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★	★★★	★★★★	★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★	★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★

Western Digital Corp WDC 21 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★	★★★	★★★	★★	★★★	★★★	★★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★	★★★	★★★	★★★	★★	★★	★★	★★	★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★	★★	★★★	★★	★★★

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SK Hynix Inc 000660 21 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

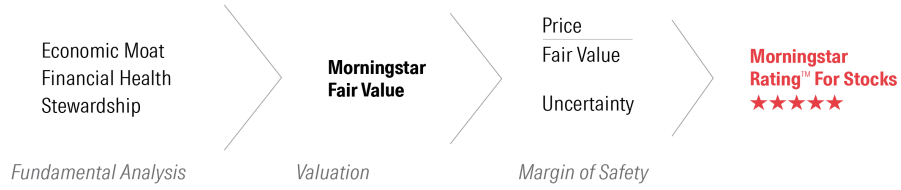
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

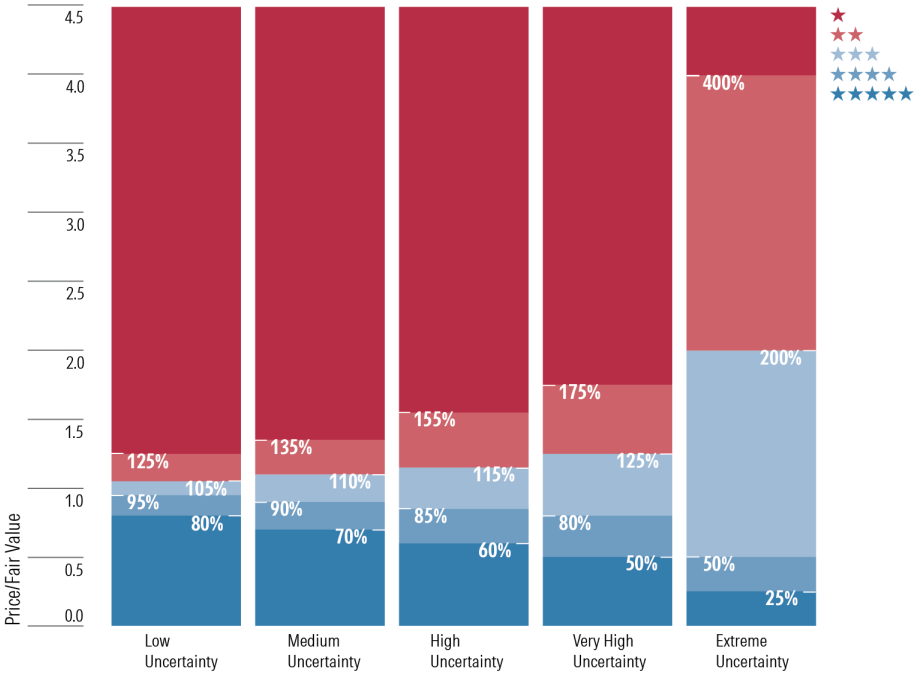
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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